IN THE NATIONAL COMPANY LAW TRIBUNAL, NEW DELHI
COURT-V

Item No.-05
CP (CAA) No.-33/230/232/ND/2022 (2nd Motion)

IN THE MATTER OF:
Oscar Institute Pvt. Ltd. And 4th D Pharma Pvt. Ltd. **....Applicant**

SECTION
U/s 230-232 **Order delivered on 20.04.2023**

CORAM:
SHRI P.S.N PRASAD,
HON'BLE MEMBER (JUDICIAL)

DR. BINOD KUMAR SINHA,
HON'BLE MEMBER (TECHNICAL)

PRESENT:
For the Applicant :
For the Respondent :

ORDER

Order pronounced in open court vide separate sheets. CP (CAA) No.-33/230/232/ND/2022 (2nd Motion) is **allowed.**

S/d- **S/d-**
(DR. BINOD KUMAR SINHA) **(P.S.N PRASAD)**
MEMBER (T) **MEMBER (J)**

IN THE NATIONAL COMPANY LAW TRIBUNAL
NEW DELHI
BENCH – V
COMPANY PETITION NO. (CAA) – 33 (ND)/2022
CONNECTED WITH
COMPANY APPLICATION NO. 12 (ND)/2022

Under Section 230-232 and other applicable provisions of the Companies Act, 2013 r/w the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016)

IN THE MATTER OF:

OSCAR INSTITUTE PRIVATE LIMITED

...PETITIONER NO.1/TRANSFEROR COMPANY NO. 1

AND

FOURTH DIMENSION MEDIA PRIVATE LIMITED

...PETITIONER NO.2/ TRANSFEROR COMPANY NO. 2

AND

SAGUN PHARMACEUTICALS PRIVATE LIMITED

...PETITIONER NO.3/ TRANSFEROR COMPANY NO. 3

AND

SEAGULL DRUGS PRIVATE LIMITED

...PETITIONER NO.4/ TRANSFEROR COMPANY NO. 4

WITH

4TH D PHARMA PRIVATE LIMITED

...PETITIONER NO.5/ TRANSFEREE COMPANY

Order Delivered On: 20.04.2023

CORAM:

SHRI P.S.N. PRASAD, HON'BLE MEMBER (JUDICIAL)

DR. BINOD KUMAR SINHA, HON'BLE MEMBER (TECHNICAL)

PRESENT:

For the Applicant : Mr. Amit Goel, Ms. Deepali Mittal, Advs.
For the Respondent :
For the RD : Ms. Shankari Mishra, Ms. Niharika Tanwar, Advs.

ORDER

PER: DR. BINOD KUMAR SINHA, HON'BLE MEMBER (TECHNICAL)

1. The present Joint Petition is filed by the Petitioner Companies herein M/s OSCAR INSTITUTE PRIVATE LIMITED (Transferor Company No. 1/Petitioner No.1), M/s FOURTH DIMENSION MEDIA PRIVATE LIMITED (Transferor Company No. 2/Petitioner No.2), M/s SAGUN PHARMACEUTICALS PRIVATE LIMITED (Transferor Company No. 3/Petitioner No.3), M/s SEAGULL DRUGS PRIVATE LIMITED (Transferor Company No. 4/Petitioner No.4) and M/s 4TH D PHARMA PRIVATE LIMITED (Transferee Company/Petitioner No.5) under Section 230-232 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, and the National Company Law Tribunal Rules, 2016, for the purpose of the Sanction of the proposed Scheme of Amalgamation of the Transferor Companies with 4TH D PHARMA PRIVATE LIMITED (Transferee Company/Petitioner No. 5). The copy of the Scheme of Amalgamation (hereinafter referred as the "Scheme"), has been placed on record.
2. The Transferor Company No. 1/Petitioner No. 1 i.e M/s Oscar Institute Private Limited is a private limited company incorporated on 30.04.2012 under the provisions of the Companies Act, 1956 vide CIN:

U73100DL2012PTC234967, having its registered office situated at 1, LSC, Block A-3, Janakpuri, New Delhi - 110058. Thus, the registered office of the Transferor Company No.1 is under the jurisdiction of this Tribunal. The authorized share capital of the Transferor Company No. 1 is Rs. 2,55,00,000/- divided into 25,50,000 equity shares of Rs. 10/- each. The issued, subscribed and paid-up share capital of the Transferor Company No. 1 is Rs. 2,54,00,000/- divided into 25, 40, 000 equity shares of Rs. 10/- each.

3. The Transferor Company No. 2/Petitioner No. 2 i.e M/s Fourth Dimension Media Private Limited is a private limited company incorporated on 10.06.2003 under the provisions of the Companies Act, 1956 vide CIN: U74110DL2003PTC120836, having its registered office situated at 1, LSC, Block A-3, Janakpuri, New Delhi - 110058. Thus, the registered office of the Transferor Company is under the jurisdiction of this Tribunal. The authorized share capital of the Transferor Company No. 2 is Rs. 3,00,00,000/- divided into 30,00,000 equity shares of Rs. 10/- each. The issued, subscribed and paid-up share capital of the Transferor Company No. 2 is Rs. 2,07,18,000/- divided into 20,71,800 equity shares of Rs. 10/- each.

4. The Transferor Company No. 3/Petitioner No. 3 i.e M/s Sagun Pharmaceuticals Private Limited is a private limited company incorporated on 24.01.1989 under the provisions of the Companies Act, 1956 vide CIN: U74899DL1989PTC034774, having its registered office situated at A-5, Krishna Park, New Delhi- 110018. Thus, the registered

office of the Transferor Company is under the jurisdiction of this Tribunal. The authorized share capital of the Transferor Company No. 3 is Rs. 10,00,000/- divided into 1,00,000 equity shares of Rs. 10/- each. The issued, subscribed and paid-up share capital of the Transferor Company No. 3 is Rs. 7,40,000/- divided into 74,000 equity shares of Rs. 10/- each.

5. The Transferor Company No. 4/Petitioner No. 4 i.e M/s Seagull Drugs Private Limited is a private limited company incorporated on 15.03.1990 under the provisions of the Companies Act, 1956 vide CIN: U24299DL1990PTC039516, having its registered office situated at A-5, Krishna Park, New Delhi - 110018. Thus, the registered office of the Transferor Company is under the jurisdiction of this Tribunal. The authorized share capital of the Transferor Company No. 4 is Rs. 25,00,000/- divided into 2,50,000 equity shares of Rs. 10/- each. The issued, subscribed and paid-up share capital of the Transferor Company No. 4 is Rs. 22,45,300/- divided into 2,24,530 equity shares of Rs. 10/- each.

6. The Transferee Company/ Petitioner Company No. 5 i.e. M/s 4TH Pharma Private Limited is a private limited company incorporated on 22.04.2008 under the provisions of the Companies Act, 1956 vide CIN: U74300DL2008PTC176989, having its registered office at 1, LSC, Block A-3, Janakpuri, New Delhi- 110058. Thus, the registered office of the Transferee Company is under the jurisdiction of this Tribunal. The authorised share capital of the Transferee Company No. 5 is Rs.

1,00,00,000/- divided into 10,00,000/- equity shares of Rs. 10/- each. The present issued, subscribed and paid-up capital of the Transferee Company is Rs. 1,00,00,000 divided into 10,00,000 equity shares of Rs. 10/- each.

7. The Petitioner Companies submit that the proposed scheme of amalgamation of the Transferor Companies and Transferee Company would have the following benefits: -

   i. The Scheme will result in formation of a larger Company enabling further growth and development of the Companies. The Scheme will enable the undertakings and business of the Companies to obtain greater facilities possessed and enjoyed by one large Company compared to various small Companies for raising capital, securing and conducting trade and business on favourable terms and other related benefits.

   ii. The Scheme will enable the Companies concerned to rationalize and streamline their management, business and finances and lead to a better economic control, over the running and management of the business and undertakings of the Companies.

   iii. The Scheme will result in reduction of overheads and other expenses, reduction in administrative and procedural work, eliminate duplication of work, transaction cost, better and more productive utilization of various resources and will enable the undertakings concerned to effect internal economies and optimize productivity.

iv. The Scheme will contribute in furthering and fulfilling the objects of the Companies concerned and enabling the optimum growth and development of their combined business.

v. With the enhanced capabilities and resources at its disposal, the Amalgamated Company will have greater flexibility to market and meet customer needs and will be able to compete more effectively. Thus, further strengthening its market position.

vi. The amalgamation will enable the Companies to pool in their financial, managerial, technical and other resources and use the financial, managerial, and marketing expertise of each other.

8. The appointed date as fixed for the proposed scheme of Amalgamation is 1st April, 2021 or such other date as may be directed by the Hon'ble National Law Tribunal. The Tribunal prescribes 01.04.2023 as the appointed date for the proposed scheme of Amalgamation.

9. From the records, it is seen that the First Motion joint application was filed before this Tribunal vide CA(CAA)12/ND/2022. Vide order dated 22nd February, 2022, the meeting of Shareholders, Secured Creditors and Unsecured Creditors of the Petitioner No.1, Petitioner No.2, Petitioner No.3, Petitioner No.4 and Petitioner No.5 was dispensed with. Therefore, no chairperson was appointed by the Tribunal and therefore, no report of chairperson is being submitted.

10. The Tribunal directed the petitioner companies to issue individual notices to the (i) Regional Director, Northern Region of

Ministry of Corporate Affairs, (ii) Income Tax Department, (iii) Registrar of Companies NCT of Delhi and Haryana, and (iv) Official Liquidator

11. The Petitioner Companies were also directed to carry out publication in the newspapers. It is seen from the records that the petitioners have filed an Affidavit affirming compliance and disclosing that the applicants have effected publication in "Financial Express" (English, Delhi edition) edition as well as "Jansatta" (Hindi, Delhi edition), both dated on 25.04.2022. In addition to the public notice, notices were served on the Regional Director (Northern Region), Official Liquidator, the Income Tax Department, Registrar of Companies, NCT of Delhi and Haryana, the Reserve Bank of India and to the other relevant sectoral regulators.

12. Pursuant to the notice issued to the Regional Director and Official Liquidator, they have filed their response/reply in the matter.

13. The Regional Director (RD) in its report dated 03.08.2022 has made certain observations with regard to the proposed scheme of Amalgamation among the Petitioner Companies. The Petitioner Companies had filed reply dated 09.08.2022 in response to the observations made by the Regional Director, under wherein the Petitioner Companies gave clarification and undertaking to address the observations made by the Regional Director. The details of the same are summarised below:

Observation	Observation of the Regional Director vide report dated 03.08.2020	Reply of the Petitioner Companies vide Affidavit dated 09.08.2022
1.	• That as per Audited Financial Statement of the Transferor Companies No. 01, 02, 03, 04 and Transferee Company have nil (0) revenue from operations and have no significant transactions over period of last two years. Hence, these Companies are dormant under Section 455 of the Companies Act, 2013. • The scheme proposes that the transferee will not issue any shares to Transferor Company No. 2. This would mean that the merger would be effected without any consideration to such an extent, which should not be allowed. Other transferor companies are also not having revenue from operations and negative reserve, but still their merger involves consideration. • The Transferee company may kindly be directed to comply with the provisions of Section 231 (3) (i) of the Companies Act, 2013 in regard to fee payable of its revised Authorized Share Capital.	• As advised by the Registrar of Companies and the Regional Director, the Petitioner Companies, in respective meetings of their Board of Directors have modified para 4.1.1 (ii) of the Scheme of Amalgamation so as to provide for issue of 1 equity share of Rs. 10/- credited as fully paid up each to the all the shareholders of the Transferor Company No. 2. The modified para 4.1.1 (ii) now read as under: "Transferee Company will issue 1 Equity Share of Rs. 10/- credited as fully paid-up, to each of the shareholders of the Transferor Company No. 2"
2.	The scheme of amalgamation partakes merger of Transferor Company- 1,2,3,4 with the Transferee Company namely 4TH D Pharma Private Limited. Para 4.2 of the Scheme of amalgamation speaks about Accounting Treatment of Assets & Liabilities of the Transferor Companies in the books of the Transferee Company on sanction of the scheme by the Hon'ble Tribunal. On perusal of the said contention of the scheme it is found that the Petitioner Companies have followed the Pooling of Accounting Method stipulated under Accounting Standard-14 but in para-4.1.1 (ii) it is stated that Transferee Company will not issue any equity share to the shareholders of the Transferor Company No. 2 justifying the negative net worth of the Transferor Company No. 2. It is pertinent to submit that said contention is not in line with the requirement of pooling of interest method as stated above, since none of the shareholder of the Transferor Company No. 2 will become the shareholders of the Transferee Company on post sanction of the scheme. In view of the above, it is prayed before the Hon'ble Tribunal to direct the petitioner companies to suitably	• I hereby undertake on behalf of the Transferee Company that the Transferee Company shall duly comply with Section 232(3)(i) of the Companies Act, 2013 and pay the difference fee on consolidated authorized capital of the Transferee Company, after writing off the fee already paid by the Transferor Companies on their respective authorized share capital.

	modify para 4.1.1. (ii) of the scheme and to bring it in parlance with the requirement of pooling of interest method stipulated under AS-14.	

14. Thus, though initially, the Regional Director (RD) in its report dated 03.08.2022 had made certain observations with regard to the proposed scheme of amalgamation among the petitioner companies. However, after the reply of the Petitioner Companies in response to the observation made by the Regional Director, the observations made by the Regional Director stand clarified according to the Counsel for the Regional Director, as observed in order dated 10.02.2023.

15. The Official Liquidator has filed its report dated 19.07.2022, wherein no specific objection has been raised against the approval of the Scheme. It is submitted in the report that the affairs of the transferor companies do not appear to have been conducted in a manner prejudicial to the interest of its members or to public interest.

16. The Income Tax Department has not submitted its report despite repeated reminders. Vide order dated 02.12.2022 passed by this Tribunal, the Income Tax Department was set as ex-parte.

17. However, in compliance of order dated 18.01.2023 passed by this Tribunal, the petitioner companies have filed the affidavit-cum-undertaking dated 04.02.2023 stating that the Transferee company will bear the income tax and will be responsible to pay the income tax dues, if any, and also filed last 3 years' tax returns of all the companies.

18. Considering the reply of the Petitioner Companies and further, the undertaking of the Petitioner Companies with respect to the observations and clarifications, we find no impediment in approving the present scheme of amalgamation.

19. In this petition it has also been affirmed that no proceeding for inspection, inquiry or investigation under the provisions of the Companies Act, 2013 or under provisions of Companies Act, 1956 is pending against the Petitioner Companies.

20. Certificates of Statutory auditor of the petitioner companies, has been placed on record to the effect that Accounting Treatment proposed in the Scheme of Amalgamation is in conformity with the Accounting Standard notified by the Central Government as specified under the provisions of Section 133 of the Companies Act, 2013 read with Rule 7 of the Companies Accounts Rules, 2014 and Companies (Accounting Standards) Amendment Rules, 2016, and other generally accepted accounting principles in accordance with the Companies Act, 2013, as applicable.

21. The shareholders of the petitioner companies are the best judges of their interest, being fully conversant with market trends, and therefore, their decision should not be interfered with by the Tribunal for the reason that it is not a part of the judicial function to examine entrepreneurial activities and their commercial decisions. It is well settled that the Tribunal evaluating the Scheme, of which sanction is sought under Section 230-232 of the Companies Act of 2013, will not

ordinarily interfere with the corporate decisions of companies as approved by shareholders and creditors.

22. It has also been affirmed in the petition that the Scheme is in the interest of all the Petitioner Companies including their shareholders, creditors, employees and all concerned. In view of the foregoing, upon considering the approval accorded by the members and creditors of the Petitioner companies to the proposed Scheme, there appears to be no impediment in sanctioning the present Scheme.

23. Consequently, sanction is hereby granted to the Scheme under Section 230 to 232 of the Companies Act, 2013 with the following directions: -

(i) The Petitioners shall however remain bound to comply with the statutory requirements in accordance with the law.

(ii) Notwithstanding the above, if there is any deficiency found or, violation committed, qua any enactment, statutory rule or regulation, the sanction granted by this court to the scheme will not come in the way of action being taken in accordance with the law, against the concerned persons, directors and officials of the petitioners.

(iii) While approving the Scheme as above, we further clarify that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges if any, and payment in accordance with law or in respect

to any permission/compliance with any other requirement which may be specifically required under any law.

24. This tribunal further directs with respect to all the Transferor companies and the Transferee company, that:

(i) Upon the sanction becoming effective from the appointed date as provided under the scheme, the Transferor Companies shall stand dissolved without undergoing the process of winding up.

(ii) All contracts of the Transferor Companies, which are subsisting or having effect immediately before the Effective Date, shall stand transferred to and vested in the Transferee Company and be in full force and effect in favor of the Transferee Company and may be enforced by or against it as fully and effectually as if, instead of the Transferor Company, the Transferee Company had been a party or beneficiary or obliged thereto;

(iii) All the employees of the Transferor Companies shall be deemed to have become the employees and the staff of the Transferee Company with effect from the Appointed Date, and shall stand transferred to the Transferee Company without any interruption of service and on the terms and conditions no less favorable than those on which they are engaged by the Transferor Companies, as on the Effective Date, including in relation to the level of remuneration and contractual and statutory benefits, incentive plans, terminal benefits, gratuity plans, provident plans and any other retirement benefits;

(iv) All liabilities of the Transferor Companies, shall, pursuant to the provisions of section 232(4) and other applicable provisions of the Companies Act, 2013, to the extent they are outstanding as on the Effective Date, without any further act, instrument or deed stand transferred to and be deemed to be the debts, liabilities, contingent liabilities, duties and obligations etc. as the case may be, of the Transferee Company and shall be exercised by or against the Transferee Company, as if it had incurred such liabilities.

(v) All proceedings now pending by or against the Transferor Companies be continued by or against the Transferee Company.

(vi) Any person interested or effected shall be at liberty to apply to this Tribunal in the above matter for any directions that may be necessary.

25. Further, the Petitioner Companies shall within thirty days of the date of the receipt of this order, cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the Transferor companies shall be dissolved and the Registrar of Companies shall place all documents relating to the Transferor Companies on the file kept by him in relation to the Transferee Company and the files relating to all the Petitioner Companies shall be consolidated accordingly.

26. In compliance with the requirement of Section 232 (7) of the Act, the transferee company shall until the full implementation of the

Scheme of Amalgamation shall file a statement every year in the Form CAA 8 along with the required fees with the Registrar of Companies as prescribed in the Companies (Registration offices and fees) Rules 2014 within 210 days from the end of each financial year.

27. The petition stands disposed of in the above terms.

Let copy of the order be served to the parties.

Sd/-

(DR. BINOD KUMAR SINHA)
MEMBER (TECHNICAL)

Sd/-

(SH. P.S.N. PRASAD)
MEMBER (JUDICIAL)